

12. FORMATION OF CONTRACT

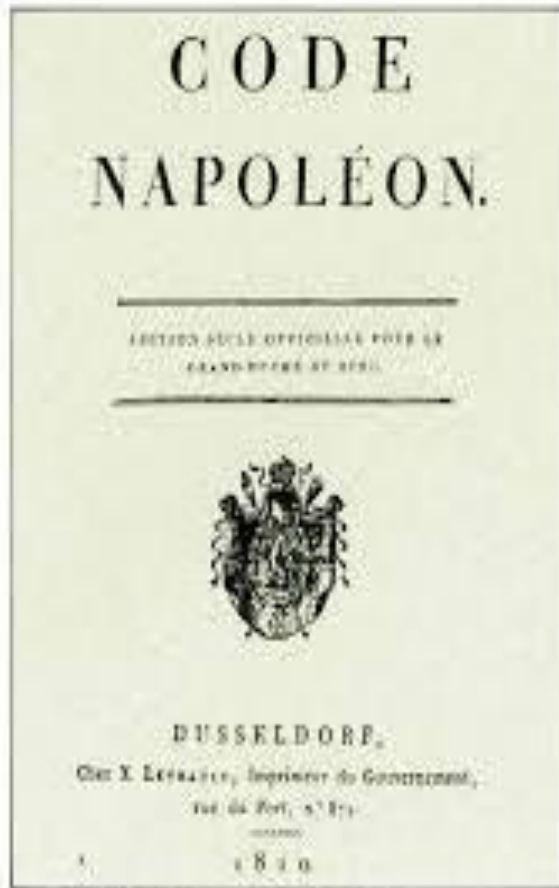
INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

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Prof. Pietro Sirena



OFFER AND ACCEPTANCE

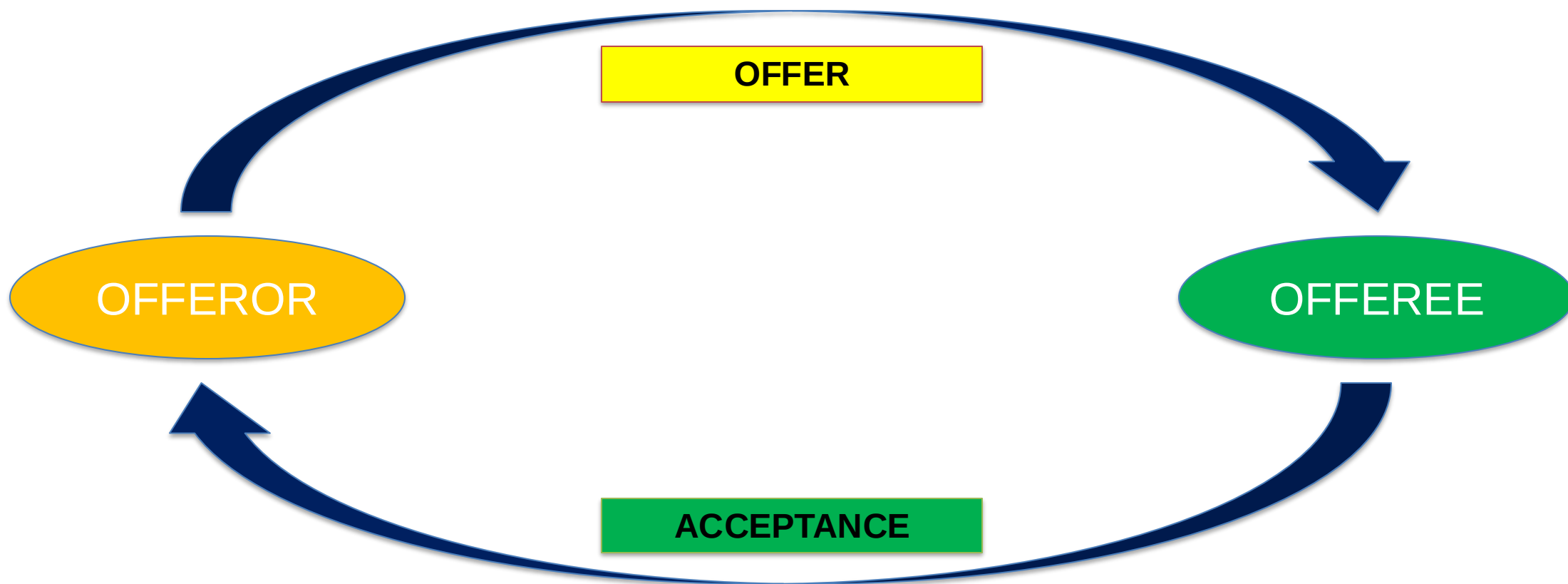


Art. 1113 (as amended in 2016)

(1) A contract is formed by the meeting of an offer and an acceptance by which the parties demonstrate their will to be bound.

OFFER AND ACCEPTANCE

«Offer and acceptance» are conceived as declarations of willingness, issued by each party and dispatched to the other



OFFER

Francesca texts Catherine that, were someone ready to pay him some 500,00 euro for his car, he would be glad to give it away

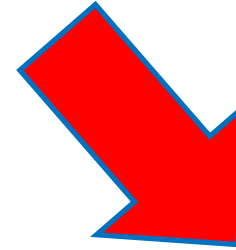
Does Francesca's utterance amount to an offer (of a contract)?

OFFER

- a. Is Francesca's actual intention that of selling his car? Or is he simply kidding, using humor or irony, etc.? **In the latter case, it is not an offer, but possibly an invitation to treat**
- b. Is the car to be sold identified, either in Francesca's utterance or because of Catherine's previous awareness of it? **If it is not possible to understand which car (e.g. among many he owes) Francesca is referring to, it is not an offer**
- c. Is the price of the sale specified in Francesca's utterance? Or is such price intended to be afterwards negotiated? **In the latter case, it is not an offer, but possibly an invitation to treat**

OFFER/INVITATION TO TREAT

- NEWSPAPER ADVERTISEMENTS?
- ANNOUNCEMENTS OF ITEMS FOR SALE AT AN AUCTION?
- INVITATIONS TO SUBMIT TENDERS?
- DISPLAY OF GOODS IN SHOP WINDOWS OR ON SUPERMARKET SHELVES



INVITATIONS TO TREAT

OFFERS TO THE PUBLIC AT LARGE

DISPLAY OF GOODS

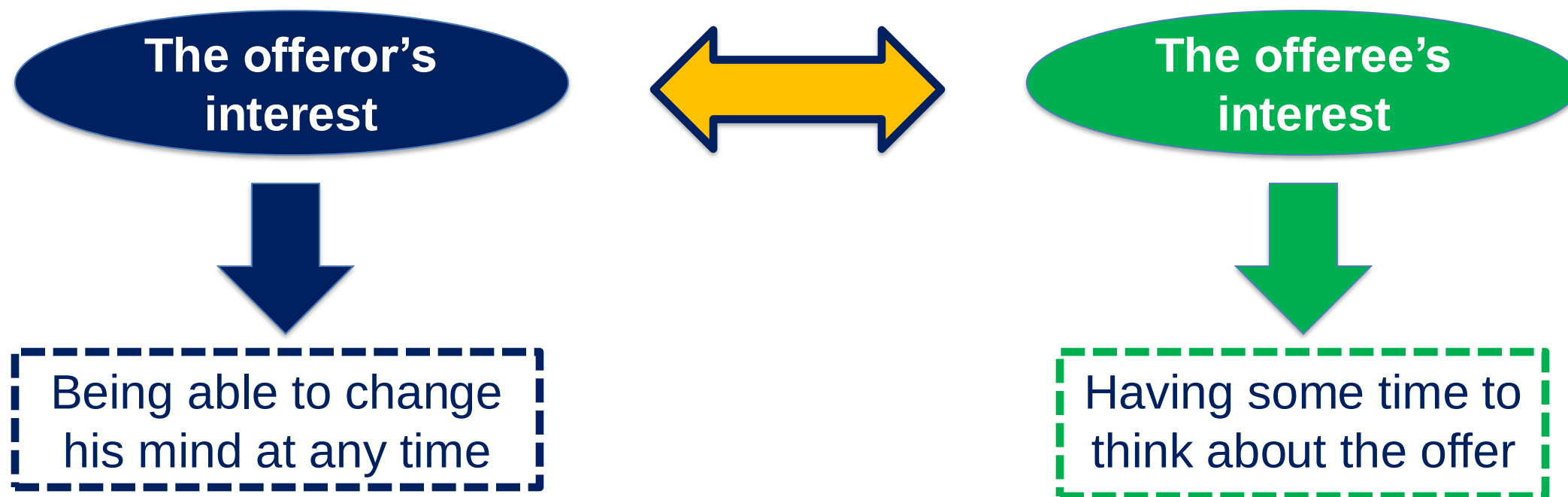
II-4:201 Offer

(3) A proposal to supply goods from stock, or a service, at a stated price made by a business in a public advertisement or at a catalogue, or by a display of goods, is treated, unless the circumstances indicate otherwise, as an offer to supply at that price until the stock of goods, or the business's capacity to supply the service, is exhausted



Civil law jurisdictions tend more easily to acknowledge **offers made to the public at large**

WITHDRAWAL OF THE OFFER



While weighing up these two interests, national jurisdictions may adopt different rules



IRREVOCABLE OFFER

- Jurisdictions which generally allow the withdrawal of an offer, stipulate, however, that the offeror can voluntarily bind herself/himself to her/his own offer (which thus turns **irrevocable**)
- In the civil law: it suffices that the offeror unilaterally promises to keep open the offer (for a given time)
- In the common law: a proper contract shall be concluded between the negotiating parties, which is called **option** (if gratuitous, it must be made by a deed)

CONTRACT OF OPTION

An option is a preliminary contract through which one party (**option issuer or writer**) binds herself/himself to her/his own offer and the other party (**option holder**) is given the right to close unilaterally the deal

Call options: give the holder the right to purchase an underlying asset at a specified price (**strike price**)

Put options: give the holder the right to sell an underlying asset at a specified price (**strike price**)

ACCEPTANCE

II-4:201 *Acceptance*

(1) Any form of statement or **conduct** by the offeree is an acceptance if it indicates assent to the offer.

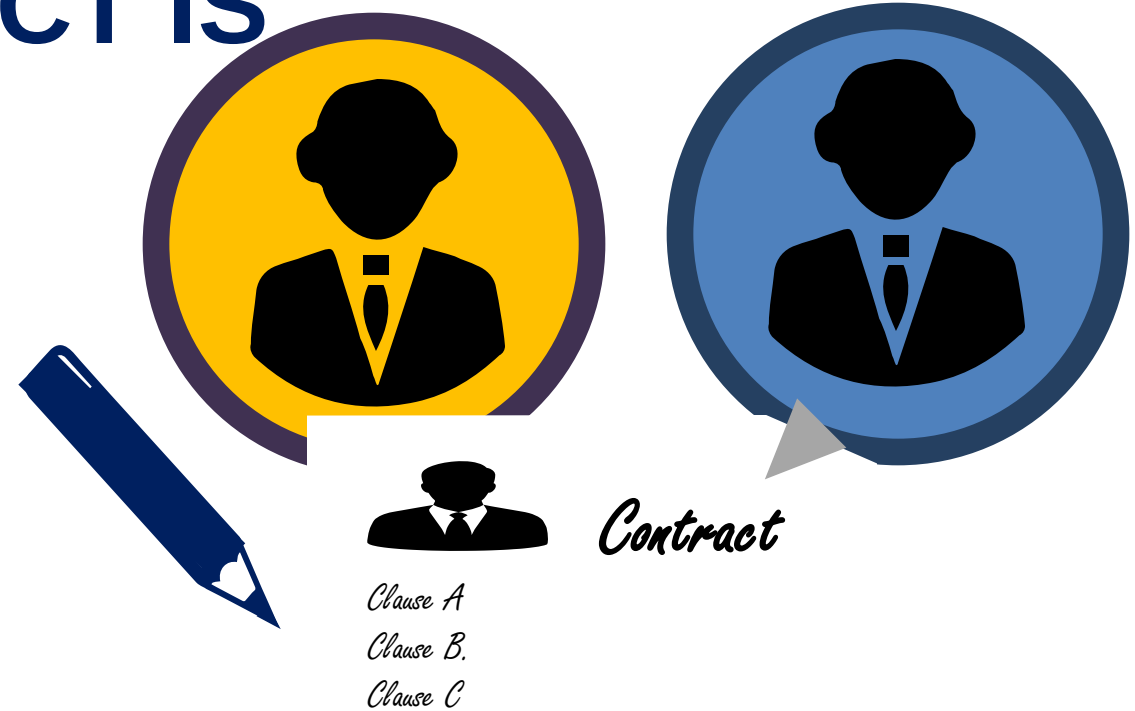


Silence or inactivity does not in itself amount to acceptance.



TIME WHEN A CONTRACT IS CLOSED

It is a material question in commercial practice: parties must know at which moment they become bound to a contract and, therefore, acquire their contractual rights and duties



- Along many **jurisdictions of civil law**, the contract is concluded **when the acceptance is notified to the offeror (knowledge rule)**
- In **the English common law**, instead, in case the acceptance is sent by post, the contract is concluded **when the acceptance is posted (postal rule)**



THE KNOWLEDGE RULE

II-4:205: *Time of conclusion of the contract*

(1) If an acceptance has been dispatched by the offeree the contract is concluded when the acceptance reaches the offeror.



To pursue the interest of the addressee, most civil law jurisdictions stipulate that offers and acceptances (as well as other unilateral acts) produce their legal effects only if and when they are notified to the recipient.

Holwell Securities Ltd. v Hughes, [1974] 1 WLR 155, [1974] 1 All ER 161

- ❑ Hughes (the defendant) granted Holwell (the claimant) a six month option to purchase a property, clarifying that the option had to be exercised "by notice in writing to the intended vendor".
- ❑ Before the six months expired, Holwell's attorney wrote to Hughes' attorney stating that his client was exercising his option.
- ❑ Holwell's attorney sent a copy of the letter to Hughes by e-mail, but it was never delivered.
- ❑ Holwell sued for specific performance of the option. Hughes argued that since they had never received the notice, the claimant had not exercised their option. Meanwhile, the period for exercising the option had expired.
- ❑ According to Holwell, the postal rule applied to this case, thereby arguing that the notice was effectively communicated to the defendant the moment it was posted.
- ❑ Hughes was successful at the lower court and Holwell appealed.
- ❑ The appeal was dismissed.

**THE POSTAL
RULE – AN
EXCEPTION?**

RATIO
The postal rule does not apply when a notification of acceptance has been agreed upon

WRITTEN FORM

Pursuant to statutory provisions, some contracts must be in writing,

- either to be concluded (*forma ad substantiam actus*)
- or to be evidenced (*forma ad probationem tantum*)

If a written form is not required by any statutory provision, the parties may nevertheless agree that their contract shall be reduced to writing, otherwise there will be no concluded contract

WRITTEN FORM *AD SUBSTANTIAM ACTUS*

SALE OF LAND

- In most jurisdictions of both civil law and common law, **contracts for the sale of land or other disposition of an interest in land** must be concluded in (simple) writing (*acte sous seing privé*, *scrittura privata*).
- The contractual document is not necessarily hand-written by the parties, but it must be signed by them (or their agents)

GIFTS

Gifts (donations), be they contracts (in the civil law) or not (in the common law), generally must be made by a deed (issued by a public notary in the civil law jurisdictions: *notarielle Beurkundung*, *acte authentique*, *atto pubblico*)

MERGER CLAUSE



II-4:104: *Merger clause*

(1) If a contract document contains an individually negotiated term stating that the document embodies all the terms of contract, any prior statements, undertakings or agreements which are not embodied in the document do not form part of the contract.

- In international commercial contracts, such provision is generally contained in a broader 'entire agreement' or 'whole agreement' clause, which is a boilerplate